CONFIDENTIAL BUSINESS & FINANCIAL MODEL

Reputation Engine

Tap-to-review NFC cards + reputation protection, sold through a commission salesforce. A door-opener into small-business web & AI services.

Prepared July 2026 · Working title (avoid "Google" in the trademarked sense) · All figures illustrative, driven by the stated assumptions.

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1. The one-paragraph version

A business tap-orders an NFC card for their counter. A customer taps it with their phone and lands on a branded page: "How was your visit?" Happy customers are sent straight to the business's public review page (Google, Yelp, Facebook). Unhappy customers are steered into a private feedback form that instantly texts and emails the owner, so the problem gets fixed before it becomes a public 1-star review. We sell the cards through independent sales reps, add an optional **$15/month** reputation-protection subscription, and use every account as a warm lead for higher-ticket website and AI services.

~$2	$15/mo	$35	3→500
CARD COST TO US	RECURRING SUBSCRIPTION	REP PROFIT / CARD	REPS MODELED, YR 1

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2. Why it works (the mechanic)

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Customer taps card (NFC, no app needed)
        ↓
  yourdomain.com/t/{cardId}   →  server looks up the business + its live settings
        ↓
  Branded page: "Thanks for visiting {Business}! How was your visit?"
        ↓
   ★★★★★  4–5 stars                 ★★★  1–3 stars
        ↓                                 ↓
  Sent to the business's          "We'd love to make it right" -> quick private form
  public review link              + the public link is still shown (stays compliant)
  (Google / Yelp / FB)                    ↓
                                  Instant SMS + email to the owner + logged for follow-up
```

The card is **written once** with a permanent URL. All routing lives on our server, so "activating" or re-pointing a card is a database change, not a physical re-program. That is what makes fulfillment near-instant and the model scalable.

Compliance is built in, not bolted on

Hard-blocking negative reviewers ("review gating") violates Google, Yelp, and FTC rules and can get a client's reviews wiped. Our design keeps the same business result while staying compliant: **everyone** is offered the public review link, but unhappy customers are given an easier private path they usually prefer, and the owner is alerted to fix it in real time. We market this as "catch unhappy customers before they go public," which is true and defensible.

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3. Three revenue streams

1. CARD SALES

Reps buy cards from us at **$5** (free shipping). Near break-even by design. This is the foot in the door.

2. SUBSCRIPTION

$15/mo reputation protection. Months 1-2 paid to the rep, month 3+ is 100% ours. This is the annuity.

3. UPSELL (THE PRIZE)

Every account is a paying, trusting SMB lead for **$500 websites** and **$199/mo** growth programs.

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4. Who makes what (per sale)

Party	Card	Subscription (if taken)	Notes
Sales rep	+$35 spread	+$15 × 2 months	Sells card at ~$40, keeps spread; earns first 2 sub months
Company (us)	+$2 margin	+$13/mo from month 3	Card washes; recurring is the real value
Business (client)	pays ~$40	pays $15/mo	Gets more 5-star reviews + fewer public 1-stars

The rep is front-loaded on purpose. A rep selling 3 cards/day earns roughly **$2,900/month** (66 cards × $35, plus subscription bonuses). That is a genuinely motivating number to recruit on. The company plays the long game: the recurring subscription and the service upsell.

5. Assumptions behind the projections

Assumption	Value	Assumption	Value
Working days / month	22	Subscription attach rate	40%
Card price to rep	$5	Monthly churn	6%
Our card cost (incl. ship)	$3	Company net / active sub-mo	$13
Card margin to us	$2	Rep card spread	$35
Subscription price	$15/mo	Rep sub bonus	months 1-2

Salesforce growth ramp modeled (months 1-12): 3, 6, 15, 20, 30, 50, 70, 100, 150, 250, 375, 500 reps. This is an aggressive "everything works" recruiting curve; treat it as the ceiling of the base case, not a promise.

6. The headline question: sales rate × time

Below is **cumulative company gross profit** (card margin + collected subscription net) under the growth ramp above, by how many cards each rep sells per day. Same rep ramp in every column; only per-rep productivity changes.

Cumulative company gross	Month 1	Month 3	Month 6	Month 9	Month 12
1 sale / rep / day	$132	$1,359	$13,240	$64,003	$244,570
3 sales / rep / day base	$396	$4,078	$39,720	$192,010	$733,709
5 sales / rep / day	$660	$6,796	$66,199	$320,016	$1,222,849
10 sales / rep / day	$1,320	$13,593	$132,399	$640,033	$2,445,697

And the two numbers that matter most for a subscription business, **at month 12**:

At month 12	Cards sold (yr 1)	Active subscriptions	Recurring rev / mo (MRR)	Annualized MRR
1 / day	34,518	12,381	$73,184	$878K
3 / day base	103,554	37,143	$219,551	$2.63M
5 / day	172,590	61,905	$365,918	$4.39M
10 / day	345,180	123,809	$731,835	$8.78M

MRR shown is gross subscription revenue the company is collecting at month 12 (subscriptions past their 2-month rep window, after churn). Annualized = MRR × 12.

7. Base case, month by month (3 sales / rep / day)

Mo	Reps	Cards	New subs	Active subs	Card gross	Sub net	Co. gross	Cumulative
1	3	198	79	79	$396	$0	$396	$396
2	6	396	158	233	$792	$0	$792	$1,188
3	15	990	396	615	$1,980	$910	$2,890	$4,078
4	20	1,320	528	1,106	$2,640	$2,675	$5,315	$9,392
5	30	1,980	792	1,832	$3,960	$7,063	$11,023	$20,415
6	50	3,300	1,320	3,042	$6,600	$12,704	$19,304	$39,720
7	70	4,620	1,848	4,707	$9,240	$21,040	$30,280	$69,999
8	100	6,600	2,640	7,065	$13,200	$34,940	$48,140	$118,139
9	150	9,900	3,960	10,601	$19,800	$54,071	$73,871	$192,010
10	250	16,500	6,600	16,565	$33,000	$81,152	$114,152	$306,162
11	375	24,750	9,900	25,471	$49,500	$121,770	$171,270	$477,432
12	**500**	**33,000**	**13,200**	**37,143**	**$66,000**	**$190,277**	**$256,277**	**$733,709**

Notice the shape: **card revenue leads, subscription revenue takes over**. By month 12 the recurring line ($190K/mo net) is nearly 3× the card line and it keeps compounding into year 2 even if you stop adding reps.

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8. Sensitivity (base 3/day) - what if the two risky numbers move?

Everything hinges on **attach rate** (do they take the $15/mo?) and **churn** (do they keep it?). Year-1 cumulative company gross:

Attach → / Churn ↓	25% attach	40% attach	55% attach
4% churn	$560,868	$773,125	$985,381
6% churn base	$536,234	$733,709	$931,185
10% churn	$491,723	$662,492	$833,260

The model is **robust to churn** (worst case only ~10% below base) but **very sensitive to attach rate**. Translation: the single most valuable thing to optimize is the on-page pitch that converts a card buyer into a $15/mo subscriber. That is a landing-page and script problem, not an engineering one.

9. The real prize: the service upsell

The cards and subscriptions are a customer-acquisition machine for the actual business: **done-for-you websites and AI/growth services**. Every active account is an SMB that already pays you monthly and has seen your product work.

Illustration (base case, month 12 = ~37,000 active accounts): convert just **3%** to a $500 website build = **1,114 builds × $500 = ~$557K** one-time. Convert **2%** to a $199/mo growth program = **743 clients × $199 = ~$148K/mo** in additional recurring revenue on top of the subscription MRR. This is where the card business stops being a card business.

10. Honest risks & caveats

- **The rep ramp is the dream, not the plan.** Getting to 500 productive reps in 12 months is a recruiting and management challenge bigger than the tech. Recruiting, training, churn of reps, and payout logistics are the real bottleneck. The tech is the easy 20%.
- **Attach rate is unproven.** 40% is optimistic until validated. Even 25% still yields a strong business (see sensitivity). Pilot it before betting on it.
- **Platform policy risk** if anyone runs the non-compliant gated version. Enforce feedback-first in the product so a rogue reseller can't turn it into gating.
- **Card margins are thin** - do not try to make money on hardware; the model breaks if cards become a profit center and price the reps out.
- **Support & fulfillment scale with card volume.** Budget for it (baked into the $2/sub infra assumption, but validate at scale).
- **Reps go to zero on an account after 2 months.** Fine for hunters, but plan a small trailing commission later if you want reps nurturing/retaining clients.

11. Recommended first moves

1. Build the **Phase 1 demo** (tap → rate → route → SMS the owner). One working card you can tap in front of a business owner sells the whole thing.
2. Run a **10-business pilot** with 1-3 reps. Measure the two numbers that matter: subscription **attach rate** and 30-day **retention**.

3. Nail the **subscription pitch** on the landing/checkout page - this is the highest-leverage dollar in the whole model.
4. Only then **scale rep recruiting**. The financials follow the salesforce, and the salesforce follows a proven, easy-to-sell pilot.

Reputation Engine · Business & Financial Model · All projections are illustrative and depend entirely on the stated assumptions (attach rate, churn, and salesforce ramp). Adjust the model inputs to pressure-test. Companion document: **Reputation Engine - Technical Specification** (developer handoff).